

**SUBSTITUTE FOR
HOUSE BILL NO. 5482**

A bill to amend 1984 PA 431, entitled
"The management and budget act,"
by amending section 242 (MCL 18.1242), as amended by 2012 PA 430.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 242. (1) State agencies, community colleges, and
2 universities shall develop 5-year capital outlay plans, which ~~shall~~
3 **must** identify capital outlay needs, including new construction, or
4 the addition, renovation, adaptive reuse, and improvement of
5 existing facilities. For state agencies, community colleges, and
6 universities, the 5-year capital outlay plans ~~shall~~**must** also
7 include the need for special maintenance. These plans ~~shall~~**must** be
8 submitted in electronic format to the department, to members of the
9 JCOS, and to the fiscal agencies not later than November 1 of each



1 year.

2 (2) The department and the JCOS shall review state agency,
3 community college, and university capital outlay plans. The
4 department and the JCOS shall prioritize requests. The department
5 shall include the department-recommended requests in the executive
6 budget recommendation. If a state agency, community college, or
7 university subsequently modifies a request, the revision ~~shall~~**must**
8 be submitted to the department, members of the JCOS, and the fiscal
9 agencies.

10 (3) The department and the chairperson and vice-chairperson of
11 the JCOS shall review and evaluate by March 1 of each year capital
12 outlay project requests received from community colleges,
13 universities, and state agencies. All of the following ~~shall~~**must**
14 be considered when reviewing and evaluating project requests:

15 (a) Investment in existing facilities and infrastructure.

16 (b) Life and safety deficiencies.

17 (c) Occupancy and utilization of existing facilities.

18 (d) Integration of sustainable design to enhance the
19 efficiency and operations of the facility.

20 (e) Estimated cost.

21 (f) Institutional support.

22 (g) Estimated operating costs.

23 (h) Impact on tuition, if any.

24 (i) Impact on job creation in this state.

25 (j) History of prior appropriations received by the
26 institution through the capital outlay process.

27 (4) The request for program development and schematic planning
28 must be approved by the JCOS and the legislature through the
29 appropriation process.



1 (5) Program statements and schematic planning documents ~~shall~~
2 **must** be reviewed by the department and, when the review is
3 completed, ~~shall~~**must** be submitted to the JCOS as either approved
4 or not approved.

5 (6) Upon review and approval by the JCOS, the JCOS and the
6 legislature may authorize the project for final design and
7 construction with a line-item appropriation in an appropriation
8 bill. ~~The appropriations bill shall include appropriations for~~
9 ~~projected state building authority rental payments associated with~~
10 ~~the projects that are authorized for construction. The~~
11 authorization ~~shall~~**must** include the legislative lease approval
12 required for state building authority financing.

13 (7) Preliminary plans ~~shall~~**must** be submitted to the
14 department for review and approval. The department shall review and
15 approve final plans to be prepared for bidding. A summary of bid
16 results ~~shall~~**must** be submitted to the JCOS.

17 (8) The department shall provide for review and oversight of
18 capital outlay projects financed either in total or in part by the
19 state building authority ~~pursuant to the provisions of in~~
20 **accordance with** sections 237 and 237a.

21 (9) Appropriations made for studies and initial plans ~~shall~~
22 **are** not ~~be~~ considered a commitment on the part of the legislature
23 to appropriate funds for the completion of plans or construction of
24 any project based on the studies or planning documents.